

Types of Mutual Funds: Categories, Sub-Categories, Taxation, & Who to Invest

By [REPAKA PAVAN ADITYA](#)

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Mutual funds are investment vehicles that pool money from investors to invest in stocks, bonds, and other assets. They are mainly classified into equity, debt, and hybrid mutual funds based on risk level, investment objective, and asset allocation.

Key highlights:

- Mutual funds pool investor money and are managed by professionals for diversified investing.
- Mutual funds are classified into different types to match varying risk levels and goals.
- Choosing the right fund to invest in depends on your financial goals, risk comfort, and investment time frame.

Understanding Mutual Funds

A mutual fund is an investment vehicle that an asset management company (AMC) uses to pool money from investors and buy stocks, bonds, and other securities. Professional fund managers manage investments, and investors receive units in proportion to their contributions. These units can be bought or sold at the current net asset value (NAV).

The Securities and Exchange Board of India (SEBI) regulates mutual funds to ensure transparency and protect investors. There are different types of them based on asset class (equity, debt, and hybrid), goal (growth, income, and capital protection), and structure (open-ended and closed-ended) to suit different risk levels and financial goals.

Categories and their Sub-Categories of Mutual Funds

There are different types of mutual funds, each designed for a different investment goal. Here is a clear and short breakdown in detail:

- **Equity Mutual Funds**

Equity mutual funds mostly invest in stocks, making them a good choice for people who want to grow their money over time. They have a higher risk because the market is unstable and uncertain, but they also have a good chance of making a lot of money over time.

- **Large-Cap Funds**

These funds invest in large, reputable businesses with a solid track record. These are comparatively safer in the equities segment because they are typically less volatile than mid-

cap or small-cap stocks. They are required by law to allocate at least 80% of their assets to large-cap stocks and similar securities.

- **Mid-Cap Funds**

These funds concentrate on medium-sized businesses with market rankings between 101 and 250. These mid-cap stocks account for at least 65% of their total assets. These enterprises are not as big as elite companies, but they are bigger than small businesses. They carry a higher risk but also have the potential to yield higher profits.

- **Small-Cap Funds**

These funds invest in smaller, high-growth companies ranked 251-500. They are more sensitive to market changes, so the risk is higher, but they can also give very high returns when the market is doing well. To qualify, at least 65% of the portfolio must be invested in small-cap stocks.

- **Multi-Cap Funds**

Multi-cap funds are free to invest in large-, mid-, and small-cap equities because they are not subject to stringent market capitalization restrictions. They need to put at least 65% of their assets into stocks and related instruments to strike a fair balance between stability and growth through diversification.

- **Sectoral/Thematic Funds**

Sectoral/thematic funds focus on a single area, such as tech or banking. They can be riskier since they rely on that sector, but they still invest in different companies within it.

- **Dividend Yield Funds**

Investors who are seeking both growth and consistent income can consider dividend-yield funds. These ETFs primarily focus on dividend-paying companies. To maintain equilibrium, about 65% of the funds are invested in stocks, giving high yields.

Value Funds

They focus on long-term growth, expecting the true value of these stocks to be realized over time.

Growth Funds: These funds invest in rapidly growing companies, even if their stock prices appear high, expecting future profits to justify the investment.

Equity-Linked Savings Scheme (ELSS): ELSS funds offer the dual benefits of equity growth and tax savings under Section 80C of the Indian tax laws, with a 3-year lock-in period.

Debt Mutual Funds: Debt mutual funds are less risky than stocks and are great for steady income and keeping your money safe.

Liquid Funds: These funds invest in ultra-short-term instruments with maturities of up to 91 days, providing high liquidity and very low risk.

Ultra-Short Duration Funds: With maturities of 3–6 months, these funds offer slightly better returns than liquid funds while maintaining low risk.

Low Duration Funds: Low Duration Fund offers a range of low-duration funds that invest in securities maturing in 6 to 12 months.

Short Duration Funds: Short-term funds are mostly used to make moderate returns while keeping risk low by investing in securities that will mature in one to three years.

Medium Duration Funds: Medium-duration funds invest in debt instruments with maturities of 3–4 years. They are more sensitive to interest rate changes but provide higher returns.

Long Duration Funds: These funds predominantly invest in bonds and other debt instruments maturing beyond 7 years. They are appropriate for a holder who intends to invest for the long run.

Dynamic Bond Funds: To achieve the best returns, these funds actively adjust the duration of their portfolios in response to changes in interest rates.

Corporate Bond Funds: Investing in top-rated corporate bonds provides higher returns than government securities while carrying moderate risk.

Gilt Funds: These funds mostly invest in government bonds, which lower credit risk but still react to changes in interest rates.

Hybrid Mutual Funds: Hybrid funds are a mix of equity and debt investments, offering a balance of risk and returns that aligns with the investor's goals and profile.

Aggressive Hybrid Funds: Aggressive hybrid funds put 65–80% to stocks and 20–35% to bonds. They want to grow while keeping some things the same.

Conservative Hybrid Funds: Conservative hybrid funds allocate 10–25% to equity and 75–90% to debt, prioritizing safety while offering limited growth potential.

Balanced Hybrid Funds: As the name suggests, balanced funds provide a middle ground by allocating 40–60% of their portfolio to equity and the rest to debt.

Dynamic Asset Allocation Funds: Dynamic hybrid funds adjust their equity and debt allocation based on market conditions, adapting to changes in volatility.

Multi-Asset Allocation Funds: Multi-Asset Allocation funds go beyond equity and debt by including assets such as gold and real estate, offering broader diversification.

Arbitrage Funds: Arbitrage funds take advantage of price differences in equity markets, such as between cash and futures, to provide low-risk, tax-efficient returns.

Solution-Oriented Funds: These are goal-based funds and are tailored for specific life objectives and come with lock-in periods to promote disciplined investing.

Retirement Funds: Retirement funds help grow a corpus for post-retirement needs, typically featuring a 5-year lock-in and a mix of equity and debt investments.

Children's Funds: These funds are meant to help you reach specific goals, like getting married or going to school. They combine growth and safety with a set lock-in period.

Other Funds

Index Funds: Index funds track market indices like the Sensex or Nifty 50. They give you low-cost, passive exposure to the market.

Fund of Funds (FoF): These funds of funds invest in other mutual funds that perform well, spreading out your investments from the start.

International Funds: International funds invest in markets worldwide, including the U.S. and Europe. This helps spread out investments and lowers the risk of losing money at home.

Who should invest in Equity Mutual Funds?

Equity mutual funds are for investors willing to take higher risks for long-term capital growth. These funds primarily invest in stocks and are ideal for investors with a time horizon of 5 to 7 years or more.

Key Considerations:

- **Risk Tolerance:** The ups and downs of the stock market affect equity funds. Investors should be ready for their portfolio value to change in the short term.
- **Investment Horizon:** A longer horizon (5 years or more) helps the market remain stable and provides it with more room to grow.
- **Financial Goals:** Great for long-term goals like saving for retirement, buying a house, or paying for your kids' college education, where you want to build up a lot of wealth.

In the past, equity mutual funds have delivered higher long-term returns than other investments, which is why they are a popular choice for building wealth.

Who should invest in Debt Mutual Funds?

Debt mutual funds invest in fixed-income instruments such as bonds, debentures, and government securities.

Considerations

- **Risk Tolerance:** These funds are a good choice for investors who don't want to deal with the stock market's ups and downs. But they do come with some risks, like changes in inflation, credit, and interest rates.

- **Investment Horizon:** Short-term goals, such as saving money for emergencies or buying a car, are better suited.
- **Liquidity Needs:** Debt funds are more liquid than fixed deposits, which makes it easier to make regular withdrawals.

Debt mutual funds can deliver better returns than traditional fixed-income options, such as fixed deposits, especially for investors in higher tax brackets.

Who should invest in hybrid mutual funds?

For investors seeking a well-balanced combination of income and growth, hybrid mutual funds are considered the best. To balance stability and potential profits, they invest in both debt and equity.

Considerations

- **Risk Tolerance:** This is a good choice for investors who are okay with some risk. Debt gives you stability, while equity gives you growth.
- **Investment Horizon:** Good for goals that will take three to five years to reach.
- **Diversification:** By distributing assets across several asset classes, one can reduce total risk.

Hybrid funds offer the best of both worlds the benefits of both equity and debt. They aim for capital growth while maintaining some stability.

Best Mutual Funds Based on Goals

Solution-oriented mutual funds help you save for specific goals like retirement or a child's education. They are meant for long-term investing and usually have a lock-in period.

Considerations

- **Purpose:** It is ideal for investors with a specific long-term financial goal.
- **Risk Approach:** Solution-oriented mutual funds began with higher-risk investments and gradually shifted to safer options in future.
- **Lock-in Period:** A set period of time keeps you invested and prevents you from withdrawing money early. This helps you stay focused on your goal.

These funds come with tax breaks, allowing you to deduct up to Rs. 1.5 lakh under Section 80(c), which makes them a good choice for long-term financial planning.

Index funds are for people who want to invest without a lot of work. They follow a market index, such as the Nifty or the Sensex.

Considerations

- **Risk Tolerance:** Investors who can tolerate some market volatility and who value minimal expenses and steady returns can choose index funds.
- **Investment Horizon:** Long-term investors with 5+ years of confidence in the market's growth potential should consider index funds.
- **Cost Efficiency:** Because index funds have lower expense ratios than actively managed funds, they are more economical.

Points to Consider Before Investing

When picking mutual funds, think about these things:

- **Risk Tolerance:** Determine how much risk you're willing to take and choose funds that align with that level. Don't put money into something that makes you worry at night.
- **Investment Horizon:** Pick funds based on what you want to do with your money and how long you can keep it there.
- **Financial goals:** Put your money into a variety of funds to lower your overall risk.
- **Fund performance and expense ratio:** Past performance doesn't guarantee future returns, but it can help you see how the fund has performed.

If you want to reach your financial goals, mutual funds are a great way to do it. You can make smart investment decisions that are right for you by learning about the different types and how they work.

Who Should Invest in Which Mutual Fund?

Your financial goals, your comfort with risk, and how long you plan to invest all play a role in choosing the right mutual fund. This is a full guide to help you make the right choice:

Investor Age	Best Funds
18–30	Equity, ELSS, Small-cap
30–50	Multi-cap, Hybrid
50–60	Debt, Conservative Hybrid
60+	Liquid, Gilt

Young Investors (18-30):

- **Risk Tolerance:** High.
- **Best Funds:** Large-cap, mid-cap, small-cap, multi-cap, ELSS, and aggressive hybrid funds.
- **Why:** With a long investment horizon, young investors can handle market ups and downs and benefit from compounding. ELSS also provides tax benefits.

Middle-Aged Investors (30-50):

- **Risk Tolerance:** Moderate to high.
- **Best Funds:** Multi-cap, balanced hybrid, dynamic asset allocation funds.
- **Why:** At this stage, balancing growth and stability is important, especially with responsibilities like mortgages or children's education.

Pre-Retirees (50-60):

- **Risk Tolerance:** Moderate to low.
- **Best Funds:** Debt funds (short duration, corporate bond), conservative hybrid funds, retirement-focused funds.
- **Why:** The focus is on protecting your money while making a little steady profit.

Retirees (60 and above):

- **Risk Tolerance:** Low.
- **Best Funds:** Liquid funds, gilt funds, conservative hybrid funds.
- **Why:** Easy access to money and small, steady earnings matter more than big growth.

Goal-Based Investors:

- **Short-Term (1–3 Years):** Liquid, very short-term funds that are low-risk and easy to get to.
- **Medium-Term (3–5 Years):** Short-term debt funds and balanced hybrid funds that offer moderate growth and safety.
- **Long-Term (5+ Years):** Equity funds, ELSS, and retirement funds that help you grow the most.

Tax-Saving Investors

- **Best Funds:** ELSS.
- **Why:** Offers tax deductions up to ₹1,50,000 under Section 80C with 80% equity exposure.

- **Risk-Averse Investors**
- **Low-Risk Funds:** Liquid funds, gilt funds, arbitrage funds.
- **Why:** Safety and predictable returns outweigh the need for high growth.

Taxation of Mutual Funds

Taxation in mutual funds is the same across all slabs but differs based on holding periods.

Below is a detailed look based on Indian tax laws as of March 2025

Fund Type	Risk	Returns	Horizon	Taxation
Equity Mutual Funds	High	High	Long-term (5+ years preferred)	STCG: 15% (≤ 12 months)
				LTCG: 12.5% (> 12 months)
				Dividends: As per the income slab
Debt Mutual Funds	Low to Moderate	Moderate	Short- to Medium-term (1–3 years)	STCG: 20% (≤ 12 months)
				LTCG: 12.5% (> 12 months)
Hybrid Funds	Moderate	Moderate to High	Medium to Long-term (3–5 years)	STCG: 20% (≤ 12 months)
				LTCG: 12.5% (> 12 months)

SIPs (Systematic Investment Plans)	Depends on the underlying fund	Depends on fund type	Flexible (goal-based investing)	≤12 months:STCG applies
				>12 months:LTCT applies

Tax-Saving Tips

Taxation depends on holding period. Short-term gains (≤12 months) are taxed at applicable rates, while long-term gains (>12 months) are taxed at 12.5%. Dividends are taxed as per the investor's income slab.

Why Mutual Funds Matter

Even if you don't have a lot of money to start with, mutual funds are a good way to invest. They help you spread your money out over several investments. You can easily get to your money, experts handle it for you, and there are rules in place to protect your investment. There is a mutual fund for you based on your goals and risk tolerance, whether you want growth, stability, or a mix of the two.

- **Example 1:** Anita invests ₹1,000/month via SIP and earns ~12% annually over 10 years, demonstrating compounding.
- **Example 2:** Meena invests ₹5 lakh in a debt fund earning 6%, generating ₹30,000 annually as stable income.

Final Word

Mutual funds offer options for every investor, equity for growth, debt for stability, and hybrid for balance. Choosing the right fund based on your goals and risk tolerance is key to building long-term wealth

Frequently Asked Questions

What is a mutual fund portfolio?

The combined holdings of a fund scheme consisting of securities like short-term debt, stocks, bonds, etc., is called a mutual fund portfolio.

How does an investor buy and sell mutual funds?

An investor can purchase shares of mutual funds from the Asset Management Company or via a broker for the fund.

When can I start investing in mutual funds?

The minimum age for investing in mutual funds in India is 18 years. So, you can start investing in mutual fund schemes as soon as you start earning and saving.

Does an individual need a PAN card to invest in mutual funds?

Yes, it is mandatory to have a PAN card for mutual fund investment.

What is the NAV of a mutual fund?

The Net Asset Value (NAV) is the market price of all the securities that a mutual fund scheme currently holds.

Are debt funds free of risk?

No, debt funds are not free of risk. However, they are less risky if you compare them to equity funds as they do not invest in equities.

Best Investment Options in India 2026

By [Tinesh Bhasin](#) Updated Apr 17, 2026

When we talk about the best investment plans in India, there are multiple investment options. But the question is which investment plan is suitable for you. One way to select the best investment plans for your portfolio is to divide your financial goals into 3 buckets: long-term, medium-term, and short-term. Doing so will give you an idea about the time you have in your hand to achieve the goal. After this, you can choose among the available options as per your risk appetite and individual goal.

This blog will look at some of the best investment options in India that fit into these 3 buckets, i.e., long-term, medium-term, and short-term.

What is an Investment Plan?

An investment plan is like a roadmap for your financial journey. It helps you decide why, where to invest, and how much to invest so that you can achieve your financial goals. These goals can be [buying a or rent a house](#) or car, [children's education](#) or marriage or retirement planning.

There are multiple high return investment options in India, such as equity, mutual funds, fixed deposits, bonds, etc. So, it is mandatory to analyze the pros and cons of these investments and select the one that best fits your requirements while making an investment plan.

An investment plan should be tailored to your objectives and risk tolerance. Making an investment plan is not a one-time process, you should regularly revisit and adjust your investment.

Types of Investment Options in India

Investment types in India can be classified into high, low, and medium-risk options based on the level of risk and potential returns. Let's understand each type of investment in detail:

Low-risk investments:

Low-risk investments are those types of investments that possess a very minimal level of risk, or zero level of risk. They offer stable returns, which are typically the guaranteed return on the investment. These types of investments are suitable for risk-averse investors looking to earn guaranteed returns. Some examples of low-risk investments are Fixed deposits, Public Provident Fund, Sukanya Samridhi Yojana, etc.

Medium-risk investments:

Medium-risk investments are those types of investments that are slightly riskier than low-risk investments. These investments seek to produce decent returns while assuming a

moderate level of risk. They are appropriate for investors seeking a portfolio that balances growth and stability. Some examples of medium-risk investments are Debt funds, Corporate Bonds, Government Bonds, etc.

High-risk investments:

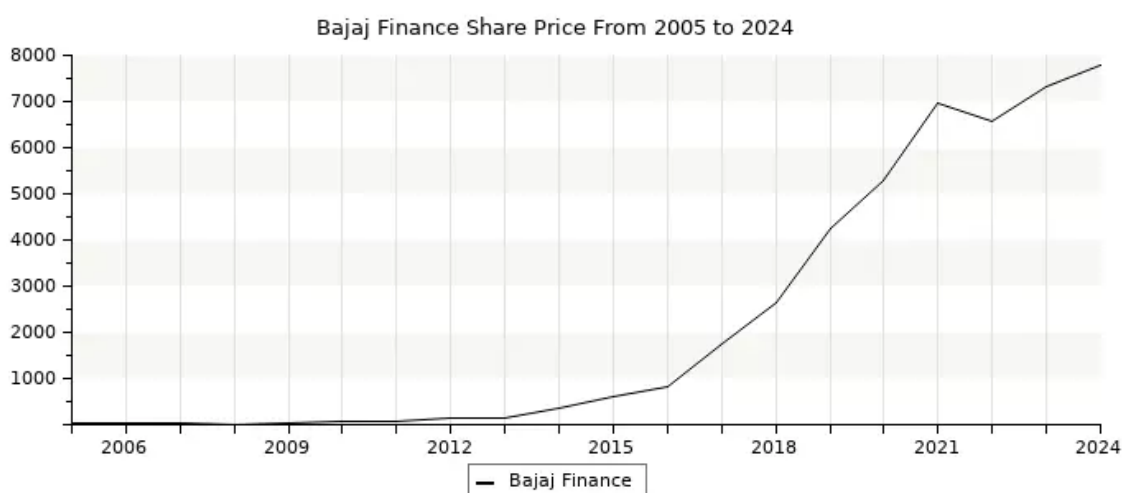
High-risk investments are generally market-linked investments that carry higher levels of risk. These types of investments seek to give higher returns in future, that too with significant volatility and uncertainty. They are suitable for investors willing to take higher risks and want to earn a return from market fluctuations. Some examples of high-risk investments are stocks, mutual funds, Unit Linked Insurance Plans, etc.

Best Investment Options For Long-Term

Long-term goals are the ones that you want to achieve in the next 7-10 years. It includes volatile investment options that can deliver high returns over the long term. Here are some of the best investments for the long term in India:

Direct Equity

One of the best ways to create wealth for your long-term goals is to [invest in equities](#). There are many examples of stocks that have multiplied investors' wealth over time. For example, the Indian non-banking financial company [Bajaj Finance](#) has delivered an annualized return of over 44.1% in the last 15 years.



*Data as of Jan 2024

- **Availability:** To invest in direct equity, you must have a demat account. You can open a demat account with any broker and start investing.
- **Investment Amount:** There is no minimum or maximum limit on the investment.
- **Maturity:** Direct equity has no lock-in; hence, you can redeem it anytime.

- **Taxation & Benefits:** Investments made in direct equity are not eligible for tax deductions. Short-term capital gains are taxed at 15%. Long-term capital gains upto Rs 1 lakh are tax-exempt; however, gains above Rs 1 lakh are taxed at 10%.
- **Risk Level:** High risk
- **Who Can Invest:** Anyone looking to earn market-linked return can invest in direct equity. But it involves higher risk, and you need expertise to in stock selection.
- **Returns Offered:** It offers a market-linked return. You can earn returns in the form of dividends and capital appreciation.

Equity Mutual Funds

Equity [Mutual Funds](#) primarily invest in stocks. But they don't concentrate your money on just 1 or 2 stocks. These funds diversify your investments across multiple stocks. More importantly, professional fund managers run these funds. So they invest your money only after adequate research. As a result, it increases your chances of earning good returns over the long term.

- **Availability:** You can invest in equity mutual funds through the [ET Money app](#) or website.
 - **Investment Amount:** There is no limit on the investment amount. You can start with as low as Rs 100.
 - **Maturity:** There is no mandatory lockin for the equity mutual funds as you can redeem it anytime. However, in the case of ELSS (Equity Linked Saving Schemes), you can redeem it only after three years.
 - **Taxation & Benefits:** Equity mutual funds are not eligible for tax deduction. However, if you have [invested in ELSS](#), then you can claim a tax deduction upto Rs 1.5 lakh per financial year. Capital gains earned on equity funds are taxable. STCG (Short term capital gains) will be taxed at 15%, and LTCG (Long term capital gains) will be taxed at 10% if it is above Rs 1 lakh.
 - **Risk Level:** High Risk
 - **Who Can Invest:** Anyone who wants to earn a market-linked return on their investment can invest in the equity mutual fund.
- Returns Offered:** You earn a market-linked return. Here are some popular Equity Funds categories and their long-term performance.

Here are some popular Equity Funds categories and their long-term performance.

Name	5 Year Returns (%)	10-Year Returns (%)
Large Cap	15.03	14.36
Large & MidCap	17.90	17.21
Flexi Cap	16.68	16.40
Mid Cap	20.78	20.06
Small Cap	24.49	22.20
ELSS	16.42	16.18

****Data as of 8 Jan 2024***

Calculate your mutual fund returns though [Mutual Fund Calculator](#).

NPS

The National Pension System (NPS) is a long-term retirement-focused investment product. It mixes assets like equities, government, and corporate bonds. You can decide how much of your money can be invested in different asset classes based on your risk appetite.

- **Availability:** You can [invest in NPS](#) through the ET Money app or website. We are India's largest POP for the NPS.
- **Investment Amount:** In a [NPS Tier 1 account](#), you must make a minimum investment of Rs 1,000 annually to keep your NPS account active; however, there is no upper limit. However, in the case of Tier 2 accounts, there is no limit on minimum and maximum amounts.
- **Maturity:** Mature when you reach 60 years of age. At maturity, you can only withdraw 60% of your total corpus. And for the remaining 40%, you will have to buy an annuity plan.
- **Taxation & Benefits:** Here are some [tax benefits of NPS](#):

- You can claim a deduction upto Rs 1.5 lakh under Section 80CCD(1) and an additional deduction of Rs 50,000 under [Section 80CCD\(1B\)](#).
- If your employer also contributes to your NPS, then you can also claim a deduction under Section 80CCD(2) upto 10% of your basic salary.
- These deductions are only available in the Tier 1 accounts; however, there is no deduction in the Tier 2 account.
- **Risk Level:** Medium risk
- **Who Can Invest:** Any individual between 18-70 years of age is [eligible to invest in NPS](#). It is specifically suitable for investors who want to save for retirement.
- **Returns Offered:** Offers market-linked returns.

Calculate your NPS withdrawal amount after retirement through [NPS Calculator](#).

ULIPs

A Unit-Linked Insurance Plan (ULIP) combines life insurance and investment. A part of your premium is invested in asset classes like equity and bonds to generate wealth over the long term. Another part of your premium goes towards a life insurance cover.

- **Availability:** You can invest in ULIPs through any life insurance company.
- **Investment Amount:** The investment amount varies from company to company. Typically, the minimum investment is Rs 1,500 per month.
- **Maturity:** They mature in 5 years.
- **Taxation & Benefits:** Investments made in the ULIPs are eligible for tax deduction under Section 80C upto Rs 1.5 lakh.
- **Risk Level:** Medium to high
- **Who Can Invest:** Suitable for the investor looking to earn a market-linked return as well as insurance coverage.
- **Returns Offered:** Offers market-linked returns.

Real Estate

It is certainly one of the most popular investment options among Indians. Nevertheless, while property investments have delivered stunning returns in the past, it has its own set of risks and limitations.

One of the major risks with real estate is that you may be unable to liquidate it quickly. And in a rush to sell the property, you may have to sell at a deep discount.

- **Availability:** You can invest in real estate through various options, such as buying a residential property or commercial property or [investing via REITs](#).
- **Investment Amount:** There is no such minimum and maximum investment amount. You can invest any amount as per your budget. You have to invest a hefty amount in real estate.
- **Maturity:** They do not have fixed maturity dates; you can remain invested for the duration that you want.
- **Taxation & Benefits:** Rental income earned through real estate is taxable as per the income slab. But it also offers tax benefits such as interest on mortgage loans, property taxes, etc. Additionally, long-term capital gains from real estate can have favourable tax treatment.
- **Risk Level:** Medium to high level
- **Who Can Invest:** Suitable for the investor looking for regular rental income, capital appreciation and diversification in the portfolio.
- **Returns Offered:** Real estate investments have the potential for profits through property appreciation and rental income. Returns can vary depending on property location and market trends.

Public Provident Fund (PPF)

[PPF](#) is a government-guaranteed scheme offering a guaranteed interest rate. It is the most popular long-term saving option scheme for retirement purposes; however, it can also be used for other purposes.

- **Availability:** You can open a PPF account at any nationalised bank or any post office branch.
- **Investment Amount:** The minimum investment amount starts at Rs 500, and the maximum investment is upto Rs 1.5 lakh per financial year.
- **Maturity:** It matures in 15 years but can be extended further in blocks of 5 years with or without contributions.
- **Taxation & Benefits:** Investments made in PPF are eligible for deduction under Section 80C upto Rs 1.5 lakh. It comes under the EEE (Exempt-Exempt-Exempt) category, which means investment made, interest earned, and maturity proceeds are tax-exempt.
- **Risk Level:** Zero risk investment
- **Who Can Invest:** Suitable for investors looking to accumulate a substantial corpus for the future at a guaranteed return.

- **Returns Offered:** Offers guaranteed return of 7.1% per annum (For quarter June-September 2023).

Calculate your PPF maturity amount through [PPF Calculator Online](#).

Senior Citizens Savings Scheme (SCSS)

Senior Citizens Savings Scheme is the post office saving exclusively for senior citizens. The main objective of this scheme is to provide regular income to senior citizens after retirement.

- **Availability:** You can invest in this scheme through any post office or any nationalised bank.
- **Investment Amount:** Minimum investment amount starts at Rs 1,000 and maximum upto Rs 30 lakh.
- **Maturity:** SCSS matures in 5 years, but you can also extend it for 3 more years.
- **Taxation & Benefits:** Eligible for tax deduction under Section 80C upto Rs 1.5 lakh. However, interest earned is taxable as per your income tax slab.
- **Risk Level:** Contains zero risk.
- **Who Can Invest:** Senior citizens who want to have a regular income stream in their retirement years.
Returns Offered: Offers guaranteed returns of 8.2% per annum, paid quarterly on 1st April, 1st July, 1st October and 1st January.

Sukanya Samriddhi Account (SSA)

[Sukanya Samriddhi Account](#) is a government backed saving scheme which offers you a guaranteed return on your investment. This scheme was launched under the initiative of Beti Bachao Beti Padhao Abhiyan, with the objective of promoting girl child welfare and education.

- **Availability:** At any post office or any nationalized bank branch.
- **Investment Amount:** Minimum Investment is Rs 250, and maximum investment amount is Rs 1.5 lakh per financial year.
- **Maturity:** The scheme matures when the girl child turns 21 years old or on marriage after 18 years of age.
- **Taxation & Benefits:** Eligible for deduction of Rs 1.5 lakh under Section 80C. It comes under the EEE category, which means investment made, interest earned, and maturity amount are tax-exempt.
- **Risk Level:** Zero risk

- **Who Can Invest:** Suitable for investors looking to save for the girl child, her education or marriage.
- **Returns Offered:** Offers guaranteed return of 8.% per annum. Revised by the government on a quarterly basis.

Calculate the return of your investment in Sukanya Samriddhi Account after maturity of the scheme through [SSY Calculator](#).

Kisan Vikas Patra (KVP)

Kisan Vikas Patra is another small saving scheme backed by the government of India that offers a guaranteed return on your investments. This scheme aims to promote long-term investing, specifically in rural areas. Here are some of the features of this scheme:

- **Availability:** You can invest in KVP through a post office or any nationalized bank.
- **Investment Amount:** You can start with a minimum investment of Rs 1,000, and there is no upper limit for the maximum investment amount.
- **Maturity:** Mature when your investment amount doubles. The government declares the maturity period as per the updated interest rate.
- **Taxation & Benefits:** Not eligible for tax deduction under Section 80C. Interest earned is taxable as per your income tax slab.
- **Risk Level:** Zero risk investment.
- **Who Can Invest:** Investor looking to earn safe and guaranteed returns.
- **Returns Offered:** Offers guaranteed return of 7.5 % compounded annually as of June 2023.

Sovereign Gold Bonds (SGBs)

[Sovereign Gold Bonds](#) are issued by the Reserve Bank of India (RBI) on a regular basis. It is an alternative to physical gold investment. Although the returns are linked to the price of gold and guaranteed by the Government of India, no physical gold is held as an underlying asset.

- **Availability:** You can invest in SGBs through leading public and private sector banks.
- **Investment Amount:** The minimum investment amount is the price of one gram of gold. However, you can deposit a maximum upto price of 4kg gold per financial year. For trusts, it is a price of 20kg gold.
- **Maturity:** You will receive the maturity proceeds after 8 years from the investment date.
- **Taxation & Benefits:** The maturity amount received after 8 years is completely tax-exempt. However, interest earned on the SGBs is taxable as per the slab rates.

- **Risk Level:** Low to medium
- **Who Can Invest:** Investors seeking safe and government-backed guaranteed returns. Also, suitable for investors looking to diversify their portfolio by gold.
- **Returns Offered:** It gives you the benefit of capital appreciation, and you earn regular interest of 2.5% semi-annually.

Government Bonds

These are the debt securities that are issued by the government of India to raise funds for various purposes such as infrastructure development, financial budget deficits, etc. It is considered the safest investment option, as the government backs it.

- **Availability:** You can invest in government bonds in the primary auction through banks, primary dealers, stock exchanges, etc. After this, you can also invest through secondary markets such as debt funds, [Gilt funds](#), stock exchanges, etc.
 - **Investment Amount:** You can invest with a minimum amount of Rs 1,000, and there is no limit on the maximum amount.
 - **Maturity:** There is no specific maturity period for government bonds, as it varies with the type of bond. For example, treasury bills have a maturity period of 91 days, 182 days or 364 days. Dated G-Secs come with a maturity period between 5 years to 40 years.
 - **Taxation & Benefits:** Interest earned on government bonds is taxable as per your income tax slab. Apart from this, if you have earned any short-term capital gains, then it is also taxed as per the slab rates. However, long-term capital gains are taxed at 10%.
 - **Risk Level:** Zero risk instruments
 - **Who Can Invest:** Suitable for risk-averse investors who want to earn guaranteed returns.
- Returns Offered:** You earn guaranteed returns on your investments.

Best Investment Options For Medium-Term

Medium-term goals are those goals that are 3-5 years away, which can be saving for your wedding, a downpayment on a house, house renovation, etc. It includes investment options that can beat inflation by a decent margin with less volatility. Here are some of the best investment options in India for the short term:

National Savings Certificates (NSC)

[National Savings Certificate](#) or NSC is a post office savings product backed by the government of India. It works like a 5-year FD. It offers you guaranteed interest, but the entire amount is payable only at maturity.

- **Availability:** You can invest in NSC through the post office only.
- **Investment Amount:** The minimum investment amount is Rs 1,000, with no upper limit.
- **Maturity:** It matures in 5 years.
- **Taxation & Benefits:** Eligible for deduction under Section 80C upto Rs 1.5 lakh. Interest earned for 4 years is eligible for deduction, as it is reinvested; however, total interest earned at maturity is taxable as per your income slab.
- **Risk Level:** Risk-free investment
- **Who Can Invest:** Suitable for investors looking to earn government-guaranteed returns and tax savings.
- **Returns Offered:** Offers guaranteed return of 7.7% compounded annually.

Post Office Time Deposit

Like banks, post offices also offer FDs. Known as National Savings Time Deposit, these investment options allow you to deposit your money for short-medium time periods. The advantage of National Savings Time Deposit is that they offer better returns than banks.

- **Availability:** You can invest through your nearest post office.
- **Investment Amount:** The minimum investment is Rs 1000, and there is no limit on the maximum amount.
- **Maturity:** You can choose a maturity period from 1 year to a maximum of upto 5 years.
- **Taxation & Benefits:** Five-year time deposit is eligible for deduction under Section 80C upto Rs 1.5 lakh. [Interest earned in Post Office FD](#) is taxable as per your income tax slab.
- **Risk Level:** Low-risk investment
- **Who Can Invest:** Suitable for risk-averse investors looking to earn guaranteed returns like bank fixed deposits.
- **Returns Offered:** You can earn a return in between 6.9% and 7.5%, depending on your investment tenure.

Debt Funds for Medium Term

There are three [Debt Mutual Fund categories](#) that hit the sweet spot between risk and return for a medium-term goal. These three Debt Mutual Fund categories are Banking & PSU Funds, Corporate Bond Funds, and Short Duration Funds.

- **Availability:** You can invest through the ET Money App or website. It offers you a hassle-free process with zero commission.
- **Investment Amount:** You can invest through [Systematic Investment Plans](#) (SIP) or lumpsum mode. Most funds typically have a minimum investment starting at Rs 500 or even lower, with no maximum limit.
- **Maturity:** Debt funds do not have a lock-in period, allowing you to redeem your investments anytime.
- **Taxation & Benefits:** Long-Term Capital Gains (LTCG) and Short-Term Capital Gains (STCG) are subject to taxation as per your income slab.
- **Risk Level:** Low to Medium Risk
- **Who Can Invest:** Suitable for investors who want to preserve their capital and also want to earn higher returns than bank FDs.
- **Returns Offered:** Offers market-linked returns.

Hybrid Funds

These [types of mutual funds](#) invest in more than one asset class. The most popular combination of asset classes these funds use is Equity and Debt. But some Hybrid Funds also invest in Gold or even Real estate. The advantage of these funds is that you can enjoy the growth potential of equity and the stability of debt in a single fund.

- **Availability:** You can [invest in hybrid funds](#) through ET Money. We offer you a hassle-free process, and you can directly invest with zero commission.
- **Investment Amount:** Most funds typically have a minimum investment starting at Rs 500 or even lower, with no maximum limit.
- **Maturity:** There is no mandatory lock-in period. You can redeem your investment anytime.
- **Taxation & Benefits:** LTCG and STCG earned on the hybrid funds are taxable on the basis of their orientation.
 - In the case of debt-oriented hybrid funds, LTCG and STCG are taxable as per your slab rates.
 - In the case of equity-oriented hybrid funds, STCG is taxable at 15% plus cess, while LTCG is taxable at 10% plus cess if the total gain exceeds Rs 1 lakh.

- **Risk Level:** Low to Medium Risk
- **Who Can Invest:** Suitable for a wide range of investors, including beginners, those with medium-term goals, retirees seeking regular income, and individuals looking for asset allocation solutions.
- **Returns Offered:** Offers market-linked returns.

Best Investment Options For Short-Term

Short-term goals are those goals that are 1-3 years away, which can be saving for your vacations, buying a car, etc. It includes investment options that can minimise the risk to the capital invested and are easily accessible. Examples of short-term investments include:

Bank Fixed Deposits (FDs)

Fixed deposit is one of India's most popular investment options, offering guaranteed returns. The way FDs work is quite simple. You deposit your money in the bank, which assures you a certain return on your principal investment at the end of the tenure.

- **Availability:** You can [invest in fixed deposits](#) through banks or NBFCs (Non-Banking Financial Corporations).
- **Investment Amount:** The minimum investment amount varies from one bank to another. Generally, the minimum investment amount is between Rs 1,000 and Rs 5,000. However, there is no limit on the investment amount.
- **Maturity:** You can choose the maturity period from 7 days to a maximum of upto 10 years.
- **Taxation & Benefits:** Interest earned on the bank's [fixed deposits is taxable](#) as per the income slab.
- **Risk Level:** Low-risk investment
- **Who Can Invest:** Suitable for investors looking for a safe investment option with guaranteed returns.
- **Returns Offered:** Guaranteed return between 6.5% and 7.5%

Calculate FD Maturity Amount through [Online FD Calculator](#).

Debt Funds For Short-Term

Debt funds are the type of mutual funds that invest in debt-related securities such as commercial paper, government bonds, corporate bonds, etc. These are very low-risk investment options and can quickly be easily converted into cash. [Liquid Funds](#), Ultra-Short Duration Funds, and Money Market Funds are the 3 Debt Fund categories that fit well in your short-term investment basket.

- **Availability:** You can invest through the ET Money App or website. It offers you a hassle-free process with zero commission.
- **Investment Amount:** You can invest via SIP or lumpsum mode. Generally, most funds' minimum investment amount starts at Rs 500 or even lower. However, there is no limit to the maximum amount.
- **Maturity:** There is no lock-in period; you can redeem your investment anytime.
- **Taxation & Benefits:** Any type of gains, LTCG or STCG, are taxable as per your income slab.
- **Risk Level:** Low to Medium Risk
- **Who Can Invest:** Suitable for investors who want to save money for emergencies.
- **Returns Offered:** Offers market-linked returns.

ET Money Earn

'[Earn](#)' is a peer-to-peer (P2P) lending investment product offered by ET Money. It is powered by LiquiLoans, a P2P NBFC regulated by the RBI. It offers you a regular interest payout on your investment, which can be either monthly or at maturity, depending on your selected option.

- **Availability:** You can invest in Earn via the ET money app or website.
- **Investment Amount:** You can start with a minimum investment of Rs 25,000 and maximum, up upto Rs 9 lakh.
- **Maturity:** It matures on the basis of selected tenure. There are multiple investment tenures available in Earn—from 3 months all the way up to 36 months.
- **Taxation:** Gains earned on the Earn are taxable as per your income tax slab.
- **Risk Level:** Medium to High
- **Who Can Invest:** Suitable for investors who want to invest in lumpsum and want to earn higher returns than traditional fixed deposits.
- **Returns Offered:** You can earn returns upto 9.5% per annum.

How To Find The Best Investment Plan?

Identifying the best investment plan that will help you to achieve your financial goals necessitates considerable analysis and research. Here are the steps to help you find the best investment plan:

- First, identify your financial needs and objectives.
- Second, estimate how long it will take to reach each goal.

- Third, identify how much risk you are willing to take.
- Fourth, explore different investment options and check the pros and cons of each option.
- Fifth, diversify your portfolio by spreading your money across different asset classes.
- Lastly, you should monitor and review your investments regularly.

What are the Factors for choosing a Best Investment Plan?

Choosing the best investment plan in India requires careful consideration of multiple factors, including your financial goals, risk tolerance, investment horizon, and current financial situation. Here are some of the key factors to consider:

Financial Goals

One of the most important factors to consider is your financial goals for which you are investing. It can be buying a car, children's education or marriage, buying a house, or [retirement planning](#). Based on the goal, you should select the investment option that helps you achieve that goal.

Risk Tolerance

It refers to the risk you are willing to take while investing. Your risk-taking capacity determines which investment option is suitable for you. If you are willing to take a higher risk, you can choose to invest in market-linked investments, while if you do not want to take a higher risk, you can choose to invest in the government-guaranteed scheme.

Performance

Before selecting the investment, you should also consider the past performance of the investment and compare it with the alternative investment options. For example, if you want to invest in mutual funds, you can check the past returns of the funds and compare them with the benchmark.

Lock-in Period

Many investment options come with a mandatory lock-in period. It means you cannot redeem or withdraw your investment till the specified period expires. For example, in the case of ELSS funds, the lock-in period is 3 years, so you can not withdraw your investment before 3 years. You should also consider the lock-in period of investment and select one that fits your requirements.

Expense Related to Investment

There are certain expenses attached to the investment, which can reduce your return, such as expense ratio, exit load, brokerage fees, management fees, etc. Hence, you should also consider these expenses.

Nevertheless, the price of gold usually rises when people look to invest in safe-haven assets amid a crisis. So they are a good hedge against inflation or equities.

What documents are required to Buy any Investment Plan in India?

Generally, to invest in any investment avenues in India, you have to provide some mandatory documents such as KYC documents, bank details, Form 16 etc. However, it varies from investment to investment. The following table shows the required documents for some of the popular investment options:

Investment Plan	Documents Required
Stock	KYC documents, PAN card, passport-sized photographs, demat account, trading account, income proof (if applicable)
Mutual Funds	KYC documents, PAN card, passport-sized photographs, bank account details, income proof (if applicable)
Public Provident Fund (PPF)	KYC documents, PAN card, passport-sized photographs, proof of identity, proof of address, bank account

National Pension System (NPS)	KYC documents, PAN card, passport-sized photographs, bank account details
Fixed Deposits	KYC documents, PAN card, passport-sized photographs, bank account details
Insurance Policies	KYC documents, PAN card, passport-sized photographs, bank account details, income proof (if applicable)
ET Money Earn	Copy of PAN Card;Any proof of Address(Aadhar/Driving License/Passport/Voter Id); and Cheque/Bank Statement

You need to have income Proof, Address Proof, Age Proof, and identity Proof. The following table shows the acceptable documents:

Proof of Identity	Proof of Address	Age Proof	Income Proof
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Aadhar	Passport	Birth certificate,	Bank statement showing your salary credit for the last 3 months
Voter ID	Voter ID	Pan Card	Form 16
Pan Card	Letter issued by the National Population Register containing name and address details.	10th Class certificate	Income tax returns for the past 2 years
Driving License	Ration Card with address	Passport	Form 26 AS

Photo Identity Card (of Central Govt./PSU or State Govt./PSU only)	Utility Bill (Electricity, Water, etc)	Service Photo Identity Card by central or state government	Income certificate
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Which Is the Best Investment Option For You?

Until now, we have discussed the multiple investment avenues available to you, but how can you choose the best investment option for you?

The answer to this question varies from individual to individual, as everyone has their own set of goals and risk tolerance. Here are some of the investment options based on certain factors.

- You should assess your risk appetite. If you are a risk-averse investor, you can invest in low-risk investments like government bonds, fixed deposits, etc. However, if you are willing to take higher risk, then you can invest in stocks or aggressive mutual funds.
- If you want to earn a market-linked return, then you can [invest in stocks](#), mutual funds, NPS, etc. And, if you want to earn regular income, then you can consider investments in bonds, corporate fixed deposits, or [dividend-yielding stocks](#).
- If you want to avail tax benefits on your investments, then you can select from various investment options such as ELSS, NPS, PPF, SSY, SCSS, etc.
- Consider the financial goals that you want to achieve by investing and select the investment that best suits your requirements. For example, if you want to invest for long-term growth, then you can consider investing in a diversified portfolio of stocks or equity mutual funds.
- SIP in mutual funds is popular if you want to invest regularly, say monthly. It allows you to build a good corpus in future by investing small amount regularly. You can select from various types of mutual funds, like Large Cap, Small cap, Mid Cap, and [Index funds](#), based on your risk profile and investment objective.

Finally, the best investment fits your financial requirements and risk tolerance capacity.

FAQs for Investment Options in India

What are the safe investment options in India?

There are multiple safest investment options that offer you guaranteed returns. Some of them are Fixed deposits, PPF (Public Provident Fund), SSY (Sukanya Samriddhi Yozana), NSC (National Savings Certificates), POMIS (Post Office Monthly Income Scheme), SCSS (Senior Citizens Savings Scheme), KVP (Kisan Vikas Patra), PMVVY (Pradhan Mantri Vaya Vandana Yojana), Mahila Samman Savings Certificate, etc.

What are the best investment options for young adults in India?

As a young investor, you can take a higher level of risk than investors up to retirement age. Hence, you can consider investing in market-linked investments such as mutual funds, national pension systems, etc. These investments will help you to earn inflation-beating returns, and you can build a substantial corpus for the future. Otherwise, if you want to earn a guaranteed return, you can invest in government-guaranteed schemes.

What are the tax-free return investment schemes in India?

The various tax-free investment schemes include PPF, SSY, EPF, SCSS, NSC, Tax saver FDs, NPS, ELSS, Life insurance, etc.

What are the best lump-sum investment options in India?

Under [lumpsum investment](#), you invest a big chunk of money in one go in any investment scheme. You can invest lumpsum amounts in mutual funds or the National Pension System to earn a decent market-linked return. However, you can proceed with further FDs or other post office schemes if you want a guaranteed return.

What are the low-risk investment options in India?

Low-risk investment options include Bank FDs, Government Bonds, PPF, NSC, POMIS, Liquid mutual funds, gold, SCSS, etc.

What's the ideal investment strategy for 1 and 5 years?

There is no best-fit strategy, as everyone differs in their risk appetite and financial objective. However, if you want to invest for short-term goals, say 1-3 years, then you can look at low-risk options like bank fixed deposits, liquid funds, ET, money earn, etc.

And if you want to invest for medium-term goals, say 3-5 years, then you look at National Savings Certificates, Debt funds, ELSS, hybrid funds, etc.

What are India's top 10 investment options?

India's top 10 investment options include Stocks, FD, Mutual funds, Senior Citizen Saving Scheme, PPF, NPS, Real Estate, Gold Bonds, Government Bonds, Sukanya Samriddhi Account, etc.

What are the best investment options for Government Employees?

Multiple investment options are available for government employees based on their risk appetite and financial goals. Some of the best options are Mutual funds, Public Provident Funds, NPS, General provident funds, etc.

What are the best investment options for Salaried Employees?

Salaried employees have multiple investment options based on their risk appetite and financial goals. One of the most popular options is SIP in mutual funds, which allows them to accumulate a good corpus by contributing a small amount regularly, typically monthly. However, there are other options too, such as the Employee Provident Fund, National Pension System, Equity Linked Saving Schemes, etc.

Which is the best retirement plan in India?

The most popular investment options for retirement are PPF and NPS. PPF offers you a guaranteed return on your investment, but it may not be sufficient to beat inflation considerably. However, you can invest in NPS if you want to earn inflation-beating returns. It has the potential to generate double-digit returns by investing in a diversified portfolio of market-linked assets.

How is a savings plan different from an Investment Plan?

A saving plan is one where you invest your money for short-term or emergency funds. It offers you low-risk and fixed returns. However, an investment plan is one where you invest regularly to better return in future to achieve your financial goals. A savings plan helps you preserve your money, while an investment plan helps grow your wealth.